Ch. 5.1 HW Solns

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1. (a) – If a good is a necessity, that means there aren't many if any substitutes, so consumers can't reduce their demand much in response to a price increase.

1. (a) I'd expect mystery novels to be more elastic because required textbooks aren't substitutable at all.

   (b) I'd expect Billie Eilish recordings to be more elastic because they are a more narrowly defined good, so it's easier to find a substitute for Billie Eilish than it is pop music as a whole.

   (c) I'd expect subway rides during the next five years to be more elastic because the longer time horizon gives people more time to change their behavior and find substitutes.

   (d) I'd expect root beer to be more elastic because it is more of a luxury than water.